Notes to Accounts

Particulars	Amount ₹
1. Employee benefits expenses	
Wages (direct)	10,000
Salaries	12,000
Total	22,000
2. Other expenses	
Administrative expenses	20,000
Selling and distribution expenses	28,000
Loss on sale of fixed asset	20,000
Total	68,000

Solution

$$\text{Operating cost ratio} = \frac{\text{Operating cost}}{\text{Revenue from operations}} \times 100 = \frac{4,80,000}{8,00,000} = \times 100 = 60\%$$

Cost of revenue from operations = Purchases of stock-in-trade + Change in inventories of stock in trade + Direct expenses (wages)

= 4,50,000 + (40,000) + 10,000 = ₹ 4,20,000

Operating expenses = Administrative expenses + Selling and distribution expenses + Employee benefits expenses (salaries)

= 20,000 + 28,000 + 12,000 = ₹ 60,000

Operating cost = Cost of revenue from operations + Operating expenses

= 4,20,000 + 60,000= ₹ 4,80,000

Tutorial Note

Loss on sale of fixed assets is a non-operating item, hence it is ignored.

(iii) Operating profit ratio

Operating profit ratio gives the proportion of operating profit to revenue from operations. Operating profit ratio is an indicator of operational efficiency of an organisation. It may be computed as follows:

$$\text{Operating profit ratio} = \frac{\text{Operating profit}}{\text{Revenue from operations}} \times 100$$

Alternatively, it is calculated as under.

Operating profit ratio = 100 – Operating cost ratio

Operating profit = Revenue from operations – Operating cost

A higher ratio indicates better profitability. Greater the operating ratio, higher is the margin available for paying non-operating expenses.

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